

Vidhi Specialty Food Ingredients Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: VIDHIING · BSE: 531717 · Report prepared 20 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's public concall transcripts, investor presentations and financial filings.

1 Snapshot

What the business does: Vidhi makes **synthetic food colours** — the colouring powders that go into sweets, soft drinks, biscuits, ice cream, pet food, medicine tablets and cosmetics. Founded 1994 (formerly Vidhi Dyestuffs). It offers 14 colours, **6 of them cleared by the US Food and Drug Administration**. Getting approved by a customer takes 4 to 10 years, which keeps rivals out. Two plants — Roha (Maharashtra) and Dahej SEZ (Gujarat) — plus a third site being built. It is **an exporter first**: roughly 95% of sales go abroad to 80+ countries.

Measure	Value	What it means in plain words
Market cap	₹1,606 cr	What the whole company is worth on the stock market — a small-cap.
FY26 revenue	₹380 cr	Total sales in the year to March 2026. Essentially flat on FY25's ₹382 cr.
FY26 net profit	₹49.2 cr	Profit after all costs and tax, up 10.8% on FY25's ₹44.4 cr.
FY26 operating margin	21.0%	21 paise of operating profit per rupee of sales — up from 18.8% in FY24.
Q1 FY27 revenue	₹146.3 cr	The biggest quarter in company history, up 66.4% on a year earlier. Section 2b explains where it came from — it is not what it looks like.
Debt to equity	0.28	Borrowings are about a quarter of shareholders' own money. Conservatively financed.
Cash conversion cycle	239 days	Cash is tied up in stock and unpaid bills for ~8 months — up from 184 days in FY24. Deteriorating steadily.
Promoter holding	64.28%	The Manek family owns nearly two-thirds. Not one share traded in three years.

2 Concall coverage

Quarter	Date	Transcript read?
Q4 FY24	12 Jun 2024	Yes — full read (the baseline for every promise tested below)
Q2 FY26	Nov 2025	Yes — full read
Q4 FY26 / FY26	14 May 2026	Yes — full read
Q1 FY27	29 Jul 2026	Transcript not published. Covered from the Q1 FY27 investor presentation and results filing instead — see note below.

An honest note on coverage. Screener lists **25 concalls** for Vidhi going back to 2021, but only 4 carry a working transcript link — the rest are listed without a document. Vidhi's own investor-relations page stops at the May 2026 transcript. So this report rests on **3 transcripts spanning two years**, not the 12 a full three-year read would use, and **the Q1 FY27 call has no transcript anywhere** — neither on Screener nor on the company's site. For that quarter I used the company's own investor presentation and P&L filing, which fortunately carry a segment breakdown detailed enough to settle the central question. The consistency read below is therefore built on fewer calls than ideal, but the three transcripts are well spaced and each one restates the same promises, so the promised-versus-delivered thread is intact.

★ Latest quarter highlights — Q1 FY27 (presentation filed 29 Jul 2026)

- **Record revenue of ₹146.3 cr, up 66.4%** on ₹87.9 cr a year earlier — and up 19.2% on the March quarter. On the face of it, a breakout.

- **But profit grew far slower than sales.** Operating profit ₹26.0 cr, up only 26.7%. Operating margin fell to 17.8% from 23.4% — a drop of 5.6 percentage points. Gross margin fell harder, 33.6% from 43.3%. Net profit ₹17.1 cr, up 34.7%.
- **Volume barely moved.** The company sold 1,506 tonnes against 1,436 tonnes a year earlier — **up just 4.9%** while revenue rose 66%. Almost none of the growth is extra product going out of the door.
- **The growth is the low-margin trading business coming back.** Q1 FY27 splits as manufacturing ₹99.6 cr (operating margin 24.7%) and **trading ₹46.7 cr (operating margin 3.1%)**. A year earlier trading was ₹8.5 cr. Trading in this one quarter nearly matched the whole of FY26's ₹49.8 cr. This is the business management spent three years telling investors it was exiting.
- **Two new plants moved to pilot stage.** Project 1: 200 tonnes/month for pharma at Arjun Foods (Roha), pilot ready, samples with customers. Project 2: 300 tonnes/month for cosmetics, plastics, paints and inks at newly acquired Dahej land, pilot ready. Both are genuinely new ground.
- **Tone: confident, and in one place not supported by its own numbers.** The Chairman's letter in the same deck states margins "expanded by approximately 400 basis points, driven by a favourable product portfolio mix and higher sales of cosmetic dyes". The P&L two pages later shows operating margin down 560 basis points year-on-year (17.8% vs 23.4%). Against the March quarter it is up 100 basis points. Neither figure is +400.

Business mix & capacity. Exports ~95% / domestic ~5% of sales (Q1 FY27 deck) — this is essentially an export business, so tariffs and freight matter more than Indian demand; exports were 82% in FY24 and 45% in FY22, so the tilt abroad has increased. **Installed capacity 7,500 tonnes a year** across three sites, up from 3,900 before Dahej. **Utilisation: Roha 100%, Dahej 65–70%** as last disclosed (Nov 2025) — meaning roughly a third of the newest plant still sits idle. Management expects both full during FY27. **Manufacturing was ₹330 cr of FY26's ₹380 cr revenue;** the rest is traded goods.

★ 3. Earning-trigger thesis

The stated driver has been the same for three years and it is a real one: **fill the Dahej plant, then push the mix from plain food colour into higher-value specialty products** — pharmaceutical tablet coatings (branded "CoatIcon"), drug and cosmetic dyes and lakes, fluorescent and solvent dyes. The economics are attractive where it works: manufacturing earns a **24.7% operating margin against 3.1% on traded goods**, and the company has committed **₹80–97 cr of capex** (₹5–12 cr for CoatIcon, ₹75–85 cr for the new lines), cut its dividend to fund it, and has two pilot plants already built and sampling. The problem is that after three years, none of it has yet produced growth in the profit line — and the growth that did arrive in Q1 FY27 came from the opposite direction.

Trigger	What management said	Evidence so far	Horizon	Strength
Fill Dahej SEZ	Full utilisation by end FY25; peak revenue potential ₹250–300 cr.	65–70% full as of Nov 2025. Target moved to FY27. Total company revenue is only ₹380 cr, so the plant is nowhere near its stated potential.	Now → FY27	Moderate Real asset, real demand claimed — but the date has slipped twice.
Shift to specialty / value-added	High-margin products to reach 10–12% of mix in FY27; margins to rise "even further".	Stated at 15% of mix in Nov 2025, then at 5% in May 2026 by the same CFO. Manufacturing margin is genuinely 24.7%. The mix shift is real but small and inconsistently measured.	2–4 years	Moderate Genuine strategy, but the disclosed number went backwards.
CoatIcon tablet coatings	"Aggressive sampling and customer qualification" with multiple pharma companies; ~6-month approval cycle.	Pilot plant ready, samples out, feedback described as favourable. No order, no revenue, no customer named yet.	12–24 months	Unproven Plausible and funded, but zero revenue so far.
Two new product plants	200 t/m pharma at Roha; 300 t/m cosmetics/paints/	Both pilots built. Commissioning lands mid-FY28 on management's own timeline.	2–3 years	Moderate The most interesting item

	inks at Dahej; ₹75–85 cr, 18-month build.	Genuinely widens the addressable market beyond food.	here — and the furthest away.
Exit low-margin trading	Trading to be wound down; manufacturing from 47% of revenue (FY22) to 90% (FY24).	Reversed. Trading fell ₹123 cr → ₹31 cr by FY24, then rebounded to ₹49.8 cr in FY26 and ₹46.7 cr in Q1 FY27 alone.	Broken The stated strategy has gone into reverse without being explained.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jun 2024 (Q4 FY24)	Dahej at full capacity by end of FY25 ; 250 tonnes/month by Q3 FY25.	Nov 2025 — still 65–70%. May 2026 — "we expect full utilisation of both Dahej and Roha in this financial year", i.e. FY27. Two years late.	Missed
Jun 2024	Operating margin to improve by a further 500–600 basis points "in the next year or so".	18.8% (FY24) → 21.0% (FY26). About 220 bps over two years , less than half the promise, and it took twice as long. An analyst said so on the May 2026 call: margins "have been fairly range bound... not gone up as per that expectations".	Missed
Jun 2024	Exit the low-margin trading business; manufacturing already 90% of revenue.	Delivered at first — trading fell to ₹31 cr in FY24. Then reversed: ₹49.8 cr in FY26, and ₹46.7 cr in Q1 FY27 alone, at a 3.1% margin. No explanation has been offered for the U-turn.	Broken
Nov 2025 (Q2 FY26)	High-value, high-margin products "currently constitute around 15% " of the portfolio.	Six months later the same CFO put it at " around 5% and increasing gradually", targeting 10–12% in FY27. Either the definition changed or one figure was wrong; neither was reconciled for shareholders.	Missed
May 2026 (Q4 FY26)	Full utilisation of Dahej and Roha during FY27; value-added to 10–12% of mix.	Too early to judge — one quarter in. Q1 FY27 volume grew only 4.9%, which does not suggest a plant filling quickly.	Too early
Jul 2026 (Q1 FY27)	Chairman's letter: margins "expanded by approximately 400 basis points " on favourable mix and cosmetic dye sales.	The same document's P&L shows operating margin down 560 bps year-on-year and gross margin down 970 bps. Sequentially it is +100 bps. The claim does not reconcile with the company's own table.	Missed

Narrative drift. The strategic story has been remarkably steady in *words* — capacity, mix, value-addition, three years running — and that consistency of language is what makes the gap so visible. Every hard number attached to it has moved: the Dahej date twice, the margin target by more than half, the value-added share from 15% to 5%, and the trading exit into outright reversal. Tone has shifted too, from specific and quantified in Jun 2024 (tonnes, basis points, dates) to broad and thematic by Jul 2026 ("defining point in our journey", "transformational journey has begun"), with the newest concrete claim contradicted by its own P&L. There is no evidence of anything worse than over-optimism — the balance sheet is clean, promoters have not sold a share, the capex is real and self-funded, and the 24.7% manufacturing margin is genuine. But a reader should discount the guidance, not the assets.

5 Bottom line

Durable earning trigger? → **MAYBE**

There is a real, funded, concrete driver here: 7,500 tonnes of capacity with a third of the newest plant still empty, manufacturing economics of ~25% operating margin against 3% on trading, two built pilot plants opening genuinely new

markets in pharma coatings and cosmetic/industrial pigments, and a dividend cut to pay for it out of internal cash. That is more than a story. But after three years it has produced **no growth in the profit line** — revenue ₹303 cr → ₹382 cr → ₹380 cr, with operating margin up just 220 bps — and the one quarter that finally showed growth got it from the low-margin trading business management said it was leaving, at 4.9% volume growth. The trigger is not disproved; it is undelivered. The new plants commissioning mid-FY28 are the real test, and they are two years out.

Management consistent? → NO

This is not a close call. Four separate quantified commitments were missed, reversed or silently restated: the Dahej ramp slipped two years across two calls; the 500–600 bps margin promise delivered ~220 bps and was challenged by an analyst on the record; the trading exit went into full reverse without a word of explanation; and the value-added share was put at 15% in November and 5% in May by the same officer. The Q1 FY27 shareholder letter then claimed a 400 bps margin expansion in a document whose own P&L shows a 560 bps contraction. Individually each could be forgiven. Together they mean the words on these calls are not a reliable guide to what the company will actually report — which is precisely what this section exists to establish.